b. Statutory Companies

Companies are established by a Special Act made in Parliament/State Assembly. Constitution of company is specified in the Memorandum of Association (MOA). Rules relating to day-to-day management of statutory companies are specified in the Articles of Association (AOA). Audit of statutory company is conducted by Comptroller and Auditor General of India (CAGI). The report of CAGI is placed in Parliament/State Assemblies concerned. Examples: Food Corporation of India, LIC, GIC, RBI, SBI, IDBI. Statutory companies enjoy autonomous status. It need not use the word 'Limited' next to its name.

c. Association Not for Profit

According to Section 8 of the Companies Act (2013), the Central Government may, by license, grant that an association may be registered as a company with limited liability, without using the words 'limited' or 'private limited' as part of its name. The license will be granted only in the case of 'association not for profit'. In other words, the Central Government will grant the license only if it is satisfied that:

(i) The association about to be formed as a limited company aims at the promotion of Sports, Commerce, Art, Science, Religion, Charity or any other useful object.

(ii) It intends to apply its profits, if any, for promoting its objects.

(iii) It prohibits the payment of dividend to its members.

Such companies may be public or private companies and may or may not have share capital.

2. Classification of Companies on the basis of Membership

a. Private Company

Private limited company is a type of company which is formed with minimum two shareholders and two directors, The minimum requirement with respect to authorised or paid up capital of ₹1,00,000 has been omitted by The Companies (Amendment) Act, 2015 w.e.f. 29th of May, 2015. Another crucial condition of a private limited company is that it by its articles of association restricts the right to transfer its shares & also prohibits any invitation to the public to subscribe for any securities of the company. Maximum of 200 persons can become shareholders in a private company. The name of private company should be suffixed with pvt ltd or (p) ltd. Ex. Scientific publishing services private Limited, Chennai. A private Limited company can be formed in three variations.

(a) as a private limited company; (b) As a small private limited company; (c) As a One Person Company (OPC).

b. Public Company

Public Company means a company which is not a private company. A public company may be said to be an association which

(i) consists of at least 7 members.

(ii) has a minimum paid-up capital of ₹5,00,000 or such higher paid up capital as may be prescribed.

(iii) is a subsidiary of a company which is not a private company.

(iv) does not restrict the right to transfer its shares.

commerce 1-15.indd 52 2/17/2021 4:48:50 PM